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Count(s)	Word(s)	Char(s)	Char(s) (WS)
Section 1	**3030**	**14066**	**17063**
Section 2	**1839**	**8585**	**10398**
Section 3	**1645**	**8652**	**10287**
Total	**6514**	**31303**	**37748**

Answer-to-Question-_1_

Dear Barrett,

Please see below for a memorandum covering the demand for money from Illinoilco. It notes important facts about the kind of liability you and your law firm corporation conglomerate can face while describing the various relationships Ahren has engaged in. Our best bet is to argue that this was a lender-borrower relationship and that the agency relationship is solely between Ahren and Connor, though that does mean you lose some fiduciary claims you can bring.

I. Initial Matter about Corporate Entity and Liability

Before getting into the claims that can arise, I first want to address the structure of a corporate entity you are in. Originally, you were in a LLP which meant only partners would be liable for something they did wrong and the other partners would be safe. However, you then switched to 1000 corporations. I assume you filed the necessary paperwork with the state and effectively changed your name from ending in LLP to some version of a corporate label. Thus, your switch to 1000 corporations was successful. Corporations still enjoy limited liability where you are only liable for the amount you put into each, *unless the corporate veil is pierced*. Depending on how the court finds and if you are judgment proof, all other corporations of your fellow partners at the law firm are now at risk, unlike before. However, before getting into piercing the veil either vertically or horizontally, it is important to establish the kinds of relationships present that could lead to legal liability. Please keep this in mind while reviewing the memo.

II. Ahern-Connor Relationship

Ahern created the AI chatbot at the request of Connor. While we are lacking details of their conversation, it is likely that they were in a principal-agent relationship.

For an agency relationship, we need assent, benefit, and control. *Gorton; Cargill*. The principal must assent for the agent to do something on their behalf and subject to their control. Here, the principal would be Connor. He sought out a powerful new chatbot and asked Ahren to make it for him. Getting the chatbot and selling it for a substantial amount of money would be to his benefit. Moreover, Ahren assented to doing this for him by actually making the chatbot for him. Lastly, we can assume there was control based on their relationship. He was her academic advisor and graduate students often interact with their academic advisors. He could have told her how to make the bot or other specific instructions. However, there does not need to be a lot of control present; him specifying the kind of labor he wanted could be enough when courts tend to not need a lot of control to establish an agency relationship. *Gorton*.

Any attempt at arguing this was a creditor-debtor or lender-borrower relationship would fail as there seem

to be no allegations of him lending money or supplies to her. Further, this is more than just a buyer-seller relationship because it does not seem like she got any of the profits through his sale (based on the fact he has a history of exploiting). She likely gave him her chatbot for free and then he went and sold it. However, if she got money from the sale passed down through him, then we may be able to make a claim for this money depending on the arguments below.

Lastly, there was not a corporation or partnership between them as they seem to be lacking any kind of agreement nor does this seem like an association of two co-owners for profit. Therefore, if you don't want any claim to that kind of money if Ahern pocketed some, we are going to have to argue that this was an agency relationship where you had no involvement and thus Illinoilco needs to go after Connor, not you.

A claim like that would build off of those arguments above and then argue that these slurs were a tort. For Connor to be liable, Ahren would need to be an employee in the scope of employment or an independent contractor where the three exceptions were satisfied. Regarding the employment relationship, this requires looking to the control over the daily operations. If Connor was constantly looking over Ahren's work, he set her hours and took all or most of the profit/losses, and she did all her work at the University of Chicago where she did not own anything, then she could be an employee. *Humble*. Then, it becomes a question of her chatbot tort being in the scope of employment. Under the common law test, Connor is not liable if it was a frolic or intentional tort. Here, the AI just developed a slight mistake that was costly; that is a detour, not a frolic. If the court follows the *Nelson* test, then developing the AI quickly even if it had the ability to develop this skill was for the purpose of making a bot for Connor and thus his benefit. Lastly, if the court follows the *Bushey* test, this just requires determining if such a tort was foreseeable and knowing the glitches in AI, this is very likely.

If Connor succeeds in his argument that there was insufficient control over the daily operations, then we (or Ahern or Illinoilco) could argue that she still falls into the exceptions for an independent contractor. *Toti*. For example, by not having enough insurance or making a stable AI who wouldn't be so offensive, he hired an incompetent contractor and should thus be liable. The other prongs (control or ultrahazardous) would likely fail here.

However, while this argument may persuade the court that there is an agency relationship here to be liable in tort, if Connor does not have enough money (perhaps he spent his profit already in some slimey way), then the court will still be tempted to look for the larger pockets, aka you and your 1000 corporations. Thus, we need to be prepared to make three different arguments about your relationship with Ahren.

III. Barrett-Ahren Relationship

A. Lender-Borrower Relationship

First, to ensure we are not liable, we are going to want to argue that this is simply a lender-borrower relationship. You loaned her the million, and then she would give it back to you once she had enough. You had no control over her conduct, unlike Cargill, nor did you exercise any control being more like the lenders in *Martin*. This is especially seen by her saying I don't want a boss and you saying you wouldn't dream of it.

The court or other parties will push back based on your end of the conversation. You mentioned that if there was profit left over, "we can talk about what to do with the extra." You are not saying what you will get, but it is implied that you will get something. Thus, it makes it look like you have more of an equity and residuary relationship on top of your debt relationship. We can try to argue back that the promise isn't relevant because you guys didn't decide on anything at the time or that it was solely to view it as an incentive to have her AI do really well. We could also argue this was a form of interest of saying you only wanted a million back and instead of saying what interest rate you wanted, that you simply were open to getting some profit (which would essentially be the interest rate). If we succeed at this argument, it means Illinoilco cannot come after you, you cannot go after any monetary claim or breach claim for Ahren, and either Ahren or Connor will likely be liable.

However, if a court is really hunting for the deeper pockets, they may take those last two sentences to find another relationship between you and Ahren to hold you liable.

B. Agency Relationship

One such relationship they could claim would be an agency relationship. The same test I discussed above about Connor still applies here. Here, the court would say there was assent through the conversation--you giving her money to do work and her saying yes. There was a benefit because you get access to the AI for your law firm as the principal and perhaps later profits down the road. Control we can try to push back on by saying you agreed you wouldn't dream of telling her what to do. However, the fact that you said she has to give back your money could be enough slight control for a very hungry court to find an agency relationship. Demanding money back is perhaps more of a condition than just saying that a coach has to drive the car. *Hogan*.

With an agency relationship established, the court would still need to find more to hold you liable in tort to Illinoilco. Once again, this requires showing control. Here, since you did not provide her resources or a place to work, but only money, this could look like an independent contractor relationship. She uses University of Chicago stuff, not yours. This was also a one-time agreement where there are no employee benefits or salary.

If the court were to find that she was an employee of yours, hope is not lost. Under the common law rule, we can argue that her making this chatbot was a frolic (or intentional tort if we think she would program

such a bot) and we should not be liable. We paid her to develop the system for speedy functions, not chatbot features. This was not part of her employment. Under the *Martin* test, she didn't do this for our benefit. She did this solely for Connor's and thus only he should be liable. Lastly under the Bushey test, foreseeability is rather large and it was always possible that she would develop a second AI or chatbot. To that we would have to stress that wasn't part of the relationship and we didn't know that her academic advisor would make such a request.

This is solely an independent contractor relationship. Any attempt that she is your employee would likely fail.

Once again, we have to look to the *Toti* factors. A racist AI is not ultrahazardous like knocking down a building and you also did not exercise control over a specific part of her project. This simply leaves incompetence. If the court is persuaded to the financial incompetence idea of *Toti*, then they would say that you hired an incompetent agent and should be liable. We can argue back that the court should not adopt a rule so broad as the exception would swallow the rule; that jump is not warranted here. Moreover, even skill-wise, she is very competent due to her expertise in AI. AI's are still new and mistakes happen, but that does not mean she is incompetent.

As an independent contractor, too, she was free to make other AI and give them to other principals. We have no connection to the Connor relationship and thus should not be liable for the effects of that.

If the court still finds that she was an agent of yours and either rejects/accepts the independent contractor argument, we could try to make a *Reading* argument for any kind of profits she made if Connor gave her any. We could argue that, despite her being an expert and her graduate school giving her the connection to Connor, our money was the sole reason she could develop another bot. It did not merely give her the opportunity but was solely the reason for it. If a court buys such an argument, we can argue she breached her fiduciary duty to us and that we want that money back. However, the money she made is likely less than the money we would owe to Illinoilco so it is better to avoid making any agency style arguments.

C. Partnership

Thus, the remaining relationship between you and Ahren is a partnership relationship. There is no corporation or closely held corporation as you did not file any relevant paperwork with the state. A partnership is an association of two or more co-owners for profit. RUPA 202. If a partnership is found, you could be jointly and severally liable and a plaintiff could go solely after you. You could then afterwards go after Ahren but she may not have enough to make it any better.

To argue for a partnership, one would have to argue that your last sentence showed that this was for profit. Thus, by talking about what to do with the extra, you were implying the default of splitting profits evenly

and any such pay would not fall into RUPA 202 sections. Moreover, even though you lent her the money, if her AI didn't make it back, you wouldn't bear that loss alone. She would have to find some way to pay you back, showing that losses aren't all on you.

While we can try to push back on the profit prong with our earlier arguments, it is better to show that you are not co-owners. You had no control or managerial authority. She completely controlled what to do with the AI and how it would function before giving it to you. The only say you had was over the money going to her and any profits coming over to you, but that may not be enough. However, a third party plaintiff could stress the sphere division where it was equal by you handling the finances and her handling the AI.

If such an argument were accepted, then any act she did as part of the partnership would bind the partnership with her being an agent of the partnership. Thus, you would be liable for the evil chatbot again.

While being liable for millions of dollars is not ideal, if there is a partnership, you can then have a fiduciary duty argument against her. I assume due to the informal nature of your conversation that you did not discuss waiving or altering the standard for fiduciary duties such that RUPA 105 does not apply. You could argue that her making a new chatbot was not part of the partnership business. She was just supposed to develop a system of efficiency for lawyers, paralegals, and other businesspersons. Making a chatbot was out of the ordinary stream and for her to have the authority to do so, she would have needed unanimity. She did not get your approval and instead acted on her own, perhaps to make some quick money outside of the partnership in a form of self-dealing, and thus you can argue a breach there. If a court takes a broad view of AI business, they may not find the ordinary business argument compelling and say she had the apparent authority to do so.

We may however be able to argue that the chatbot instead became partnership property and her giving it to someone in her own name was appropriation of the property and another form of breaching her fiduciary duty. If the lend of the property was consistent with the partnership, perhaps we can then argue that Connor breached the agreement by selling it on his own and that we are entitled to some proceeds there.

Such arguments may be compelling but we should really focus on the lender-borrower relationship to avoid any liability.

IV. If liable, now what?

If a court finds you liable, your other corporations are at risk. By being the shareholder for each corporation, you have made yourself look more *Walkovsky* rather than a publicly traded corporation. Vertical piercing is unlikely as it is so hard for plaintiffs. They would have to argue unity and fraud. *Sealand*. Here, based on the facts, it does not seem like your switch to corporations was to avoid creditors or tax payments (especially since you left behind the LLP tax perks). Without any fraud, it doesn't matter if

a unity argument is successful. The veil cannot be pierced and you and the other corporations are safe that way.

However, horizontal piercing only needs unity across the corporations. If money and clients are being shared among the corporations, which is likely unless each partner works completely on their own, unity is likely. If you kept your same building, unity is further supported. If you also didn't follow the procedural steps of meetings like *Walkovsky*, a court will find unity and can go through each corporation to ensure that the third party is fully compensated.

V. Remaining Claims

While I know this has been a daunting email to read, I am hopeful we can persuade a court of the lender-borrower relationship to keep you separate from this chaos. If you are still are or are not found liable, you may be wondering if anyone from your law firm can then sue you for this. Assuming you allowed everyone in your law firm to use the AI and that they all benefited from it, we would likely beat any interested insider transaction claim. The AI was worth the million dollars to have these mini corporations and so the price was fair. You got what you paid for. *Bayer*. The corporations cannot likely sue you. Further, if you stress that you are solely a shareholder and not a director/officer, you do not owe them any fiduciary duties. If a court finds that this is a closely held corporation and follows the minority view of *Wilkes*, they will argue that you do in fact owe duties and your only defense was that getting AI was a legitimate business purpose and there was no less onerous option to be able to do such a restructuring (but there normally is a less onerous option for courts to find when they want the bigger pockets to pay).

Can they instead go after the partners? You did agree to give them profits through a contract. Thus, that could seem like you created another partnership for profit. Then you could go after them for some profit. However, this comes down to the equal management issue again which will likely not be satisfied if the partner has no say.

I look forward to discussing this with you further and hopefully preventing you from paying illinoilco.

Your attorney

----------ANSWER-1-ABOVE----------

---------DO-NOT-EDIT-THIS-DIVIDER----------

----------ANSWER-2-BELOW----------

Answer-to-Question-_2_

Dear minority shareholder,

Please see the memorandum below addressing the claims that could arise from these developments. As an initial matter, I want to note that I assume Xerxes is not a controlling shareholder. Although he is CEO and chair of the board, there is no indication of how many shares he owns. Thus, I treat him as a typical director/officer for purposes of this analysis. I walk through the claims in chronological order.

I. The Hiring of Yeager

Regarding the hiring of Yeager, two claims can emerge: breach of duty of care and breach of duty of loyalty.

A. Duty of Care

To bring a claim like this, we would need to revive *Disney* and *Van Gorkem*, showing that these facts are just so bad to warrant a duty of care claim. This will be a claim brought against Xerxes or other members of the board as directors.

Care is shown through the proxy of process. *Van Gorkem*. Here, however, there was no process. Xerxes made a decision of doubling the salary without any decision or ratification of the board. He made this decision, immediately, which is why I infer no discussion with the board. Moreover, it is unlikely he is relying on any reports in good faith under DGCL 141. Reports, I believe, do not mean what your son says about his fraternity brother. Instead, it is a report made by reasonable investigation about the circumstances and there is a good faith reason to rely on it. The statement of him being cool and smart while having an offer at Capital Management do not constitute a report. It is also, based on hindsight, that Yeager was lying about such an offer and there is no good faith reason to rely on it. Without reports to rely on or a board decision, there is no way for a ratification under 144 to cleanse this decision. Our claim is not dead like most duty of care claims.

Instead, it is on the directors or officers to show that such a decision was fair. In *Disney*, raising the salary to get someone to come over was found to not be a violation of the duty of care. The directors were protected by their business judgment that he would be good to the company and make it better; such an offer was necessary for him to be able to come over. Similarly, Xerxes will argue that he is protected by the business judgment rule. The court will not look into an honest business judgment unless there is a showing of fraud, illegality, or self-dealing. *Shlensky*. To win on this claim, you will have to stress this was not an honest business judgment. This was not just a waste of corporate assets but a lack of consideration and looking into the next CEO.

However, courts have been rather evasive of making a good faith holding--who even knows if it exists--and reviving Van Gorkem. Especially because this is a well-to-do corporation, it is very likely they have a DGCL 102(b)(7) provision preventing them from being personally liable for a duty of care claim.

Even though the facts are so bad, the formalist bent in Delaware and the desire for more business friendly courts will likely lead a court to reject such a claim.

B. Duty of Loyalty

Even if the duty of care claim fails, we could try to bring a duty of loyalty breach claim. Careless does not mean disloyal, so we would need to make a different type of argument. Xerxes did all of this to ensure his line of succession; he was not thinking with GraftKings in mind, we can argue. By being so focused on who will take his seat and using corporate funds to control who his successor will be, this is an interested insider transaction. Of course, the funds are not going to Xerxes himself, making it an indirect interested insider transaction, and very similar to *Bayer.* Money is leaving the corporation and going to Yeager.

Like above, there is no board or shareholder ratification under 144 to cleanse such an act. Instead, the only option to show fairness. Showing fairness is demonstrating that the company got what it paid for; the price was fair and reasonable. Here, we can argue that the price was in fact not worth it and not fair. Extra funds were used to bring in an unsuccessful CEO who harassed women and did not seem to feel bad about it. This was not worth corporate funds and it was not a fair price. However, simply complaining about how shareholders could have gotten more/ the company could have gotten less does not break through the business judgment rule. I do note that such a breach of loyalty claim was not brought in *Disney* suggesting the possible infeasibility of such a claim, but it is worth a try. However, since we are a Delaware corporation and this likely relates to the internal affairs where only Delaware law applies, a formalist bent chancellor may strike it down.

II. Defense against Zetta

Zetta did attempt to acquire your company where you could have made a decent profit due to the control premium she was offering. However, the rejection of the offer itself will be protected by the business judgment rule and you won't be able to sue on those grounds.

Corporations are allowed to defend against takeovers when they have reasonable belief to view the acquirer as a threat. *Cheff*. Despite her not having any background unlike Maremont, her statement of "I'm coming for everything" could imply that she wanted to liquidate the company so that FanTool became number one or to turn GraftKings practices into something like FanTool's. This is a rather low bar to meet but a court will likely accept these fears to allow a defense.

Corporations can use corporate funds and measures to defend themselves so long as it is proportionate and the *Revlon* moment has not yet occurred. It is true that a change in control was coming with Xerxes wanting to step down, but the change in control already happened before Zetta coming onto the scene. It was not inevitable once she was there for the corporation board to become auctioneers. Thus, they did not have to take the highest offer, being the $15 shares. If, however, a court finds that the *Revlon* moment did happen once Xerxes decided to step down, then he would have to do what was best for the company using his fiduciary duties. He could not lock out his duties by saying his only ability was to hire Yeager. *Omnicare*. However, he could argue back that he trusted Yeager more and didn't want GraftKings to completely go under a new change in the interest of the longterm shareholders, making his decision of Yeager over Zetta protected by the business judgment rule. We could still try to argue that the *Revlon* moment happened and he had to auctioneer the company for the better deal which he rejected, but his vibes argument could likely persuade the court.

However, we could try to argue that his defense was not proportionate. *Unocal*. It completely killed all offers by leaking the report to Zetta. This wasn't just saddling the company with debt or swallowing a poison equity pill; it ended discussions completely rather than getting a better offer. It took you shareholders completely out of the conversation. *Omnicare*. Moreover, with the report being now out, it is likely it could get circulated around to others, killing other offers and tanking the stock price. We could argue it was such a bad decision but once again, the business judgment rule likely stands in our way to recovery.

III. Yeager's Bet

Lastly, you could attempt to bring suit over Yeager's bet. You could allege either corporate opportunity or an agency claim.

A. Corporate Opportunity

A corporate opportunity is when someone uses their own funds in hopes of making a profit at the cost of the company. This is a type of fiduciary duty-loyalty claim. By him placing the bet and alleging other facts, we can break through the business judgment rule analysis to get to *Broz*.

Under *Broz* and *Ebay*, there are four factors/questions First, did the corporation have the plausible funds to take on this opportunity? There are no indications of the company nearing bankruptcy--in fact, they are able to pay double salaries to their new president. They likely have enough money to place a bet. Second, is it in their line of the business? This is a gambling enterprise. They do prop bets best, and this is a prop bet. This is in line with their business. Third, would they have an interest or expectation in this opportunity? The corporation does prop bets and they would likely want to know about prop bets about

themselves. Especially if they knew that Yeager was being fired soon, they would be very interested in this opportunity. Lastly, would taking this opportunity place Yeager in conflict with the corporation? This requires looking to analysis before he got fired/assuming he was still at the company at the time he made the bet. By placing the bet and wanting someone to get fired, Yaegar would have an incentive to shirk his duties and be an even worse president so that he would be fired and get paid. Thus, he had the incentives like the president in *Disney*. Under this argument, we could argue there was a conflict, all four factors are met, and the money belongs to the company.

Yeager will try to argue against these factors and perhaps try and show he had no incentive to get himself fired (maybe he really thought Xerxes was going to be fired), but this will come down to credibility determinations made by the judge.

B. Agency

Regarding an agency claim, the fact that Yeager is an officer of the corporation as president demonstrates he is an employee agent, satisfying the assent, benefit, and control prongs. When an agent makes a profit solely because of his agency relationship, the principal is able to collect. Here, we could argue that the opportunity to make the bet was not just a mere opportunity with him working at a gambling enterprise. This is not like a law professor writing a book about being a law professor after quitting and making profits. Here, perhaps because he knew about the internal investigation and was actually smart like Xerxes' son said, he could read the tea leaves. He had insider knowledge that he was likely getting fired (or Xerxes if he still worked there). If it wasn't for his position as president, he likely would have not had access to that information. He got it solely because of his status. Thus, like *Reading*, he has to pay up. If we win this argument, it would mean all those millions of dollars go to the company and you likely get a dividend afterwards.

Please let me know what path you would like to pursue.

Your attorney

----------ANSWER-2-ABOVE----------

---------DO-NOT-EDIT-THIS-DIVIDER----------

----------ANSWER-3-BELOW----------

Answer-to-Question-_3_

Klein's and Thompson's work is likely correct that we are on a path of deregulation, especially in corporate law, but it is not going to bring about the benefits they so seek. Instead, corporate law internally thrives on deregulation and has thrived that way since the 1970s--and even before. The aftermath of Elon Musk's pay package and SB 21 further highlight how corporations fight to not be regulated by the judiciary, even if they have to meet administrative regulation guidelines. Like what Jackson argues at the end, this deregulation itself has seen the rise in the corporations for abundance for the CEOs, board, and management into their own oligarchies with extensive political control, but no abundance for the rest of the population.

The rise of deregulation in corporate policy developments has been strong since the early 2000s. In 2010, the Supreme Court decided *Citizens v. United*, promoting the nexus of contracts theory of corporations. Rather than view the corporation as conceding something to the sovereign for limited liability and regulations, the Court's majority highlighted that corporations were just individual contracts and could be treated like how people enter contracts. If an individual can contribute to a political campaign, so can a corporation. The tone of deregulation continued with the Court then overturning *Chevron* in *Loper Bright*, reducing the ability of agencies to have a say over the regulations they want to affect corporations. Then, in 2024-2025, we saw the rise of corporations being so involved in presidential elections and White House, with Elon Musk running DOGE and claims of slashing budgets and regulations to "free up" the government. Lastly in 2025, Elon made his cries clear to the Delaware legislature about losing his pay package and getting SB 21 passed, changing DGCL 220 and 144 so that it would be harder for shareholders to regulate the corporation and do what management does. Now, the SEC has said they will allow shareholder statements to be denied in accordance with state law while not enforcing much, and the DOJ Antitrust division is not as active despite lower interest rates meaning more mergers and acquisitions will likely happen.

Because of these recent developments, it may seem adequate to point the finger at current officials in government and to get them to stop this. Forcing regulation while developments for deregulation have stalled abundance, according to Klein and Thompson. However, the trend goes back much further than setting up regulations in the 1970s. Those are not the politicians to blame.

Instead, this trend started with Delaware courts and legislature turning themselves into the business friendly jurisdiction way before the 1970s. While the government talks about external regulation and limiting how much pollution a corporation can, courts deal with internal regulations. They often have the chance to see the corruption better than just setting up regulations in DC. Instead of increasing the kind of regulations and oversight over corporations, Delaware courts (setting aside the chancellors in 2025) backed off. They promoted the business judgment rule. This allowed corporations to say this was a "business judgment" as a get out of jail free card. They did not have to deal with the shareholders trying to regulate them and tell

them how to do their job; they could do whatever they wanted. *Kamin; Shlensky*. Even when the court sometimes would say they would get their hands involved and question a business judgment, such a decision can be looked down upon and as incorrect, *e.g., Ford,* especially now with the prevalence of the business judgment rule.

Even when the courts have attempted to regulate, such decisions have led to economic inefficiencies, with the legislature having to save them. In *Stoneham*, the court tried to shut down agreements about future officer positions for closely held corporations. Once they said they will regulate those agreements, corporations responded that they just won't make closely held corporations. But such corporations carried wealth that the economy needed! Thus other courts like *Galler* and the legislature had to step in to promote economic efficiency at the cost of regulation and overturning such doctrinal developments.

Other concepts in corporate law demonstrate the mood for deregulation. When shareholders try to regulate the board through shareholder proposals, corporations have many excuses to strike down such proposals and will try to get SEC staff to say they won't take action or regulate them for doing so. Even if a proposal gets through, such as *Lovenheim*, other shareholders promptly strike it down, demonstrating they like the way things are run by management and do not want anyone stepping in to regulate their board. Similarly, in proxy fights, incumbents get reimbursed. This demonstrates the incumbency bias of wanting them to be able to defend themselves and their policies; if they had to pay for their own funds, then there wouldn't be people serving on boards and economic inefficiency would fall apart again.

Of course, regulation is not absent from corporate law. Courts still impose fiduciary duties to ensure that there are rules people play by. But, as seen with SB 21, there are many ways to cleanse a seemingly fiduciary duty violation and avoid having to change one's mind. The fact that 144 has been expanded to prevent further suits is quite like Klein's and Thompson's point of cutting back the blockage that allows corruption to be seen. However, with 144 being broader now, corruption will surely be less seen but this doesn't mean that these corporations will now all of a sudden seek abundance. Instead, as Milton Friedman argued, their goal and purpose is to seek profit. When they get sued by their shareholders, it is often because the shareholders wanted *more* money, further highlighting the desire for profit making. Profit making decisions often benefit management the most and by deregulating these decisions, management will issue another trillion dollar pay package to one person who has plenty of money already rather than cheap and plentiful housing for the rest of the population.

The attempts for further deregulation are often hidden by the phrase "business friendly," not abundance. Leaving Delaware for Texas is not so that Coinbase can make stuff that is better for the world; it is so they can make their decisions to make profit without question and be a successful business entity. They don't want shareholders standing in their way; they want it easier to silence them and not have to them give as much access to records (see DGCL 220 changes). This attitude has allowed oligarchies to now fight in our democracy to ensure they remain untouched and pay less taxes, protecting themselves at the cost of

sometimes their shareholders and then the stakeholders.

These deregulation patterns do sometimes contradict Friedman's principle that corporations only make money. Courts won't step in if there was a better way for a corporation to make more money. *Shlensky*. However, Friedman did highlight that corporations don't owe social responsibilities. While we do now have benefit corporations like Patagonia and Delaware allows some donations to charity, he is mostly right that corporations do not have/owe social responsibilities. If they did, the government would try to not externally regulate them. These regulations instead are attempts to impose social responsibility on corporations for abundance and to protect the populace. By believing that erasing all other regulations on businesses will lead to abundance misses one of the reasons for regulations and why some businesses are so anti-regulation.

Therefore, in corporate law, from both before and after the 1970s, there has been an attitude to allowing deregulation internally in corporations. The lack of internal regulation allowed these oligarchies to arise, as Jackson argues. Now that they are so present in our democracy, the conversation of external regulation is coming back. Deregulation is not always so bad as it allows economic development and efficiency, but with internal deregulation leading to the political fight for external regulation, abundance does not seem near.

If abundance is desired, however, there needs to be a shift in how we view corporations and how we regulate them. Rather than submitting to Musk and passing SB 21, Delaware should have allowed its ruling to stand. While it may have led some corporations to lead Delaware, it would have also allowed the market to offer more judicial options for where to incorporate. Each jurisdiction could then compete and there does not have to be an absolute race to the bottom. Powerful shareholders, the ones with a lot of money, know which jurisdictions are more friendly to them over management and so they may support companies that allow more internal regulation. Losing Delaware's dominance may seem like a loss and very unsettling for corporate law, but it could also allow a greater turn to equity over formalism, in pursuit of such abundance. This would also mean an incorporation of the idea of the corporation as a concession model. RUPA already switched partnerships as a nexus of contracts to its own entity; so can other areas of the law in regards to corporations. However, as seen throughout this course, corporations do not always like change unless it is favorable precedent on their side, so there may be economic downsides to pursuing a path of regulation for abundance.

In conclusion, Jackson's piece does highlight the deregulation spirit in corporate law. However, this spirit, in regards to internal matters, is not new; various doctrines demonstrate how courts won't look too closely at corporations in fear of stalling the economy unless it was for the imposition of fiduciary duties (which still promoted economic efficiency by getting people to enter these entities). Current developments at the Supreme Court and Delaware demonstrate how corporations want to be left alone internally and externally, allowing their management to do what it wants (which is normally make the largest amount of profit

possible). Deregulation does boost economic development and efficiency, but not the kind Klein and Thompson hope for.